Summary

- India was an economically underdeveloped country at the time of Independence. The framers of the Constitution had opted to develop the country as a socialist democracy, so that ensuring social justice was an important priority for the government.
- One of the first priorities of the government was therefore to undertake measures to improve conditions in agriculture. Reforms were initiated to eliminate the institutional weaknesses, by doing away with landlordism (*zamindari*), reforming tenancy and imposing land ceilings. These were partially successful but did not really improve conditions in agriculture.
- The shortage of food grains was acute by the 1960s, and the government therefore switched to the technological alternative of improving agriculture through the introduction of high-yielding varieties of seeds and investment in major irrigation, chemical pesticides and fertilizers. This succeeded in ensuring food security in India, but also had negative effects on the environment.
- There was no reduction in the ratio of people living in poverty, especially in rural areas. The IRDP was a concerted effort to tackle rural poverty. Though the level of rural poverty did come down, the number of persons below the poverty line did not decrease because the population was growing.
- The MGNREGA, which gives rural households the legal right to demand work, is now the major employment generation programme.
- Nehru was determined to create a socialist society, and he proclaimed that the state would direct industrial growth by investing in heavy industrial units and also exercise control over private industry to ensure long term objectives of growth and preventing exploitation by private business houses and capitalists.
- Industries to produce steel, heavy engineering and machine tools which required large investments were set up by the state in various parts of the country. While this strategy pushed India into becoming an industrially developed economy, the over-extension of the public sector into too many products and services ultimately led to heavy losses. This eventually made the government liberalise the economy and do away with licences and controls and allow free market forces to guide the economy.
- The Planning Commission was set up to formulate five year plans which would assess the resources of the country and specify targets for the growth of the economy as a whole and the various sub-sectors of the economy. Considerable improvement has been made in literacy and establishment of schools and colleges in the country.
- There has been an impressive increase in the number of institutions of science research (pure and applied). Similarly, many institutes of technology have been set up across the country for education in various engineering disciplines. In addition, there has been an explosion in the number of private engineering colleges.

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